Setup 3

Another setup is similar to Setup 2 except there's support between J and H, but not in the same upward trend. Let's rewind the tape and start at the beginning.

Imagine that the line separating Setup 3 from Setup 2 is missing. We see a strong move higher from I to H. We could take half that move and assume price is going to drop back to that area, just as we did in Setup 2. However, looking to the left of I, we see peak L. It's a mean-looking knot of support with price going horizontal for a week or two (but need not be that extensive; a simple well-defined top can do).

Instead of using Setup 2 to place the exit trade midway at J, it's more likely that the stock will drop to the price of L and reverse there. So L is our target. We place a stop a penny above G, place our order to short a penny below the price of H, and use the top of L as the exit.

Knots and Throwbacks

Figure 1.9 shows two more scenarios for swing trading the stock. The left panel shows a double bottom at AB, confirmed when price closes above C. As a swing trader, you don't want to wait to buy into this situation, so you place a buy stop a penny above C. That gets you into the trade right on time.

How far will price rise? Answer: to D. That's the first knot. The knot is the closest region to the breakout where price moves horizontally for at least 3 days. That horizontal movement is obvious because it rests in the circle to the left of D.

D is your short-term swing target. The stock will rise and hit that region and likely turn back to the breakout in a throwback (which it did in this example, after reaching E).